

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/palo-alto-networks-revenue-growth-slows-1479767010>

BUSINESS • EARNINGS

Palo Alto Networks Revenue Growth Slows

Company expects a continued decline in the growth rate of its top line in the current quarter

By Maria Armental

Nov. 21, 2016 at 5:23 pm ET

Palo Alto Networks Inc.'s revenue jumped in the latest quarter, but the growth was its slowest pace as a public company and the cybersecurity company projected the deceleration would continue this quarter.

At the same time, a sharp increase in stock-based compensation and other expenses continued to weigh on results, widening the company's quarterly loss.

Shares, down 9% this year, fell 14% to \$139.10 in after-hours trading.

Kelsey Turcotte, Palo Alto's vice president for investor relations, defended the stock-based compensation during a trade conference in September as an important part of the company's pay package to attract and retain talent, particularly in the Silicon Valley area. Ms. Turcotte said the percentage of stock-based compensation to revenue should start coming down this year.

In the most recent period, stock-based compensation surged 55% from the year-ago period to \$116.5 million.

Santa Clara, Calif.-based Palo Alto makes its money from a mix of products, such as firewalls, along with add-on services, including subscriptions and support and maintenance. The company has reported losses in all but one fiscal year and

accumulated losses of \$683.4 million as of Oct. 31.

Over all, the company's first-quarter net loss widened to \$61.8 million, or 69 cents a share, from \$39.9 million, or 47 cents. Excluding stock-based compensation and other items, profit rose to 55 cents from 34 cents a year ago.

Revenue rose 34% to \$398.1 million, Palo Alto's smallest increase as a public company, and was partly offset by a 39% surge in operating expenses.

Gross profit margin improved to 74.6% from 73.4% a year earlier,

Billings—a closely watched metric that gauges demand based on revenue under contract—rose 33% to \$516.9 million in the latest period, below the \$525 million projected by analysts, according to FactSet.

For the current quarter, the company expects to make 61 cents to 63 cents in adjusted profit on \$426 million to \$432 million in revenue, continuing the deceleration.

Analysts surveyed by Thomson Reuters project 63 cents in adjusted profit on \$438.8 million in revenue.

Write to Maria Armental at maria.armental@wsj.com

